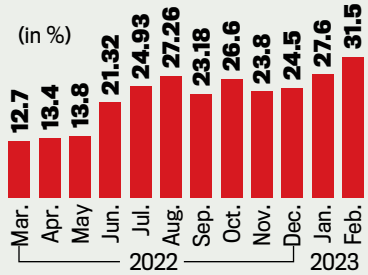
# A SHAKY ECONOMIC LANDSCAPE

KEY INDICATORS SHOW THE PAKISTAN ECONOMY IN DEEP PERIL AND IN SERIOUS NEED OF REPAIR

INFLATION

## RUNAWAY PRICES

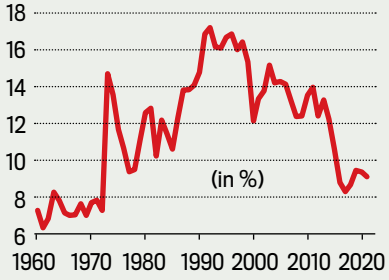
High inflation, driven by fuel and food prices, has burnt a hole in the common man's pockets




EXPORTS TO GDP

## A SHARP TUMBLE

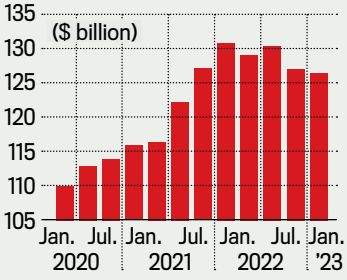
Political instability and a slowdown have taken a toll on the country's exports




EXTERNAL DEBT

## IN DEBTORS' COURT

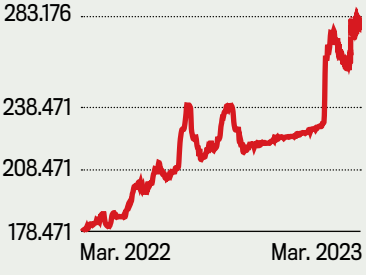
Pakistan's high external debt is one of its greatest burdens




RUPEE TO USD

## IN A FREE FALL

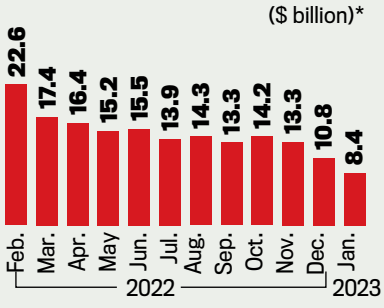
The Pakistani rupee has seen a constant fall in value against the US dollar, with a 'high' of 283




FOREX RESERVES

## DEPLETING PURSE

With high debt, a weak rupee, costly energy imports, foreign exchange reserves are at a low

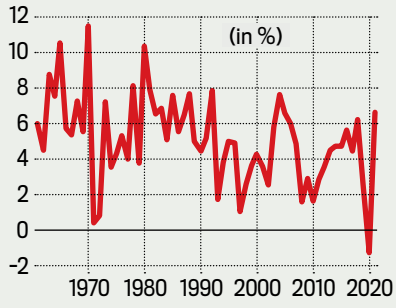



*Includes reserves held by individuals, firms

GDP GROWTH

## A DIM FUTURE

Although GDP recovered from the pandemic low, political instability could hit future growth




Graphic by TANMOY CHAKRABORTY

Source: www.xe.com, World Bank, State Bank of Pakistan

ment, says Sayeed, includes "a changed geopolitical situation" in which Pakistan cannot extract the "geopolitical rent" it could previously from agencies like the IMF and bilateral donors, "donor fatigue" after the pandemic, the Ukraine war and a "commodity supercycle"—a period of high growth in demand—that is leading to a lot of imported inflation.

But longstanding domestic issues, such as the inability to tax big agriculturists, property owners and traders, raise the tax to GDP ratio (tax revenue for a country measured in terms of GDP), while high government borrowing, large current account deficits (it was as high as $2.5 billion in January 2022, but fell to $0.2 billion in January 2023 after stringent import restrictions), the inability to increase exports and economic mismanagement have played their part.

"The widespread consensus is that, for decades, we have had no real structural reform that would have made Pakistan competitive in a globalised world," says business journalist Khurram Husain. "This current crisis is nothing new, economically or politically. The economic crises in 1999, when Pakistan was sanctioned after exploding the nuclear devices, or the one in 2007, with terrorists running amok across the country, were probably worse. But this one feels more serious because there doesn't seem to be a roadmap to get out of it."

Former prime minister Imran Khan is gunning for new elections, arguing that it's the only way out, but it's not clear that polls would offer any solution to the economic crisis—political instability could make things worse. And any new government that comes in will also find itself in the same quagmire at best.